

INFOSYS 704

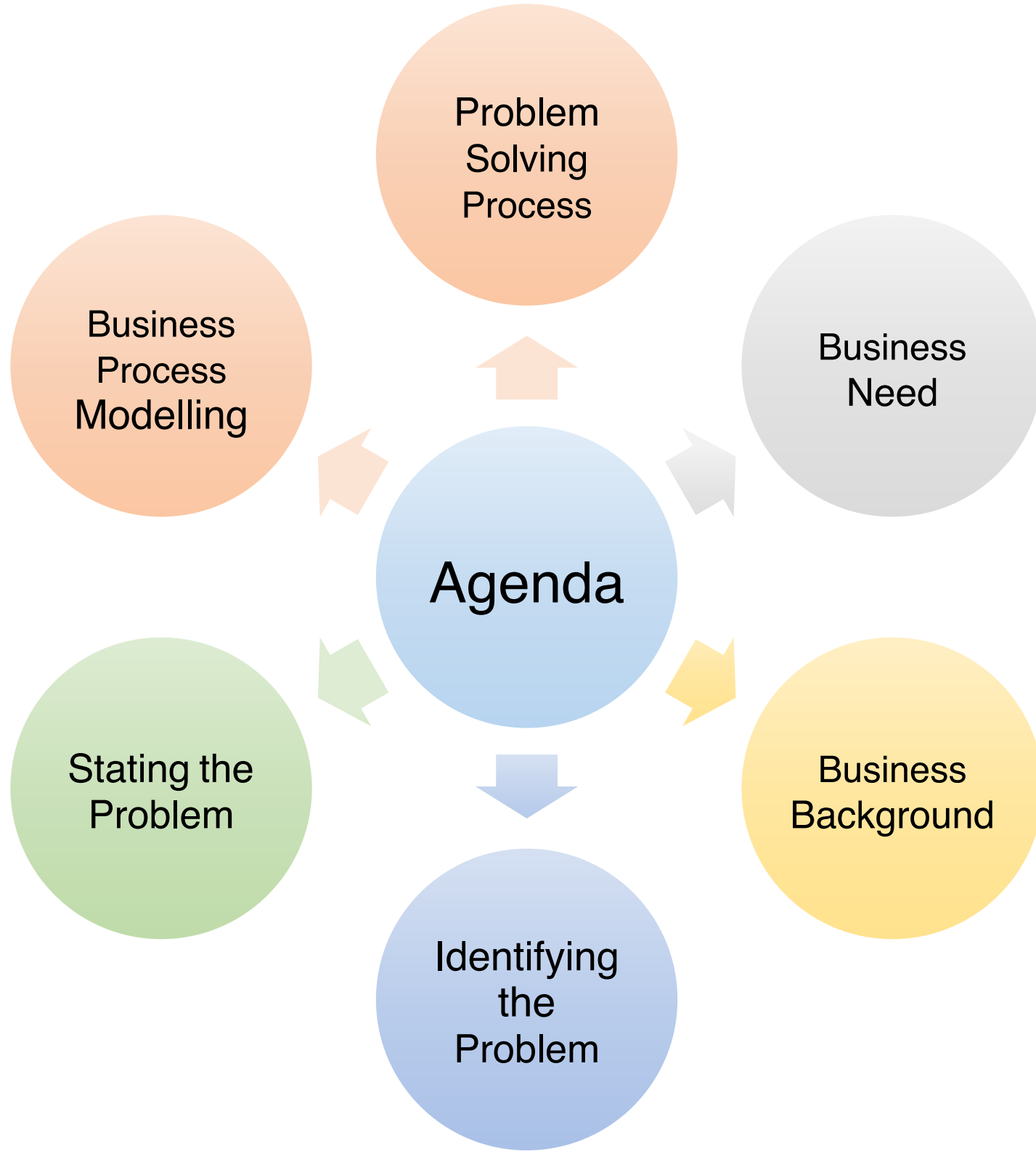
IT Consultancy

Lecture 3

Problem Solving Process

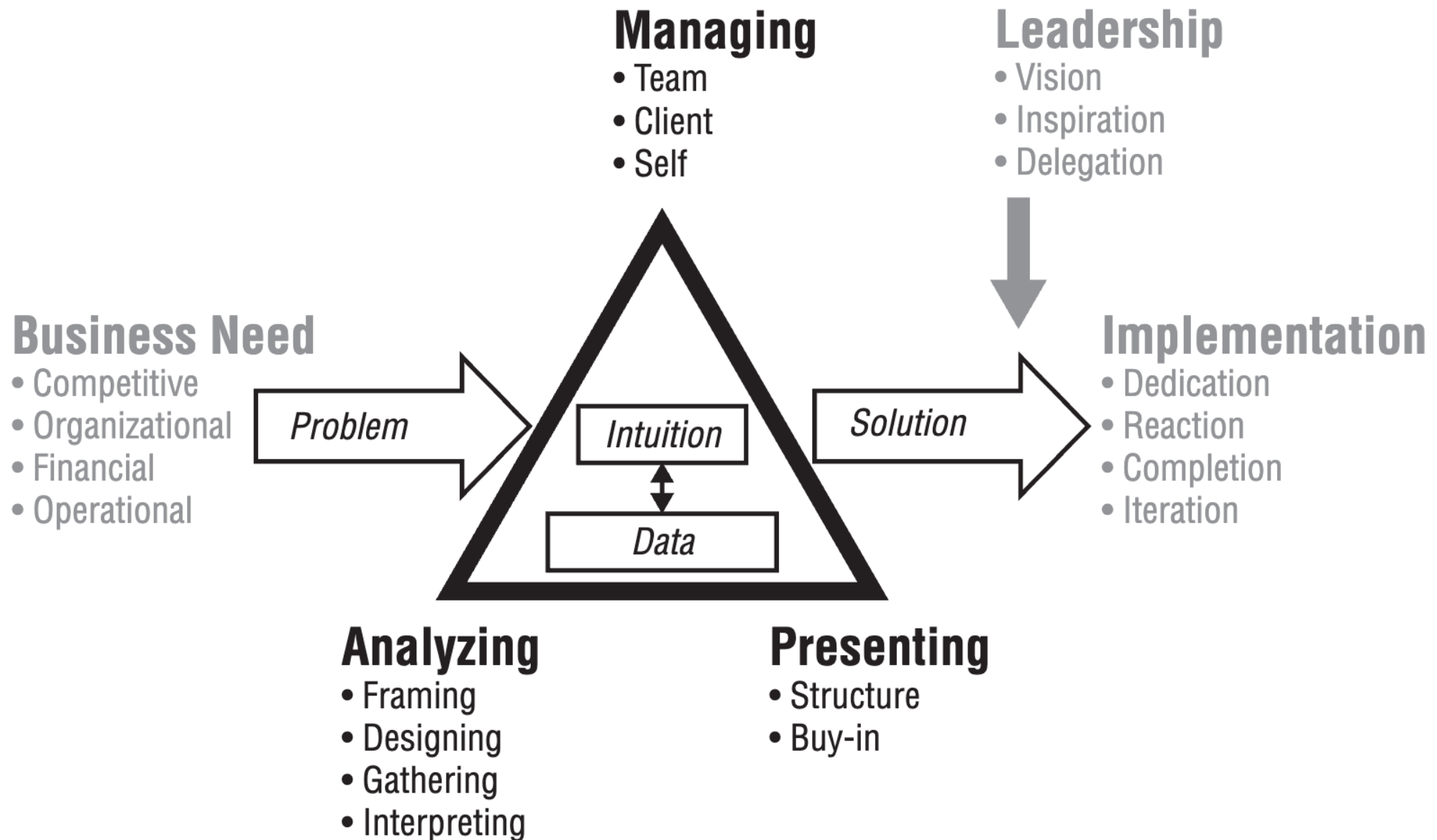
Identifying the Business Need





Problem Solving Process

McKinsey Problem Solving Model



Identifying the Business Need

bench marks

Business Need

- Solving a client's problem or helping the client to fulfill a business need is at the heart of consulting.
- Needs could be competitive, organizational, financial, and/or operational.
- What does the client say is the problem or need?
 - *"We need to cut costs."*
 - *"We're losing market share."*
- What is the broader context?

Business Background

- What is the **Vision** of the organization
- Identify their **products** and/or **services**
- Identify their **customers, suppliers, and partners**
- Conduct an **industry analysis**
- Identify their **strategy**
- Identify their **value chain**

Visions



Create experiences that combine the magic of software with the power of Internet services across a world of devices



To organize the world's information and make it universally accessible and useful

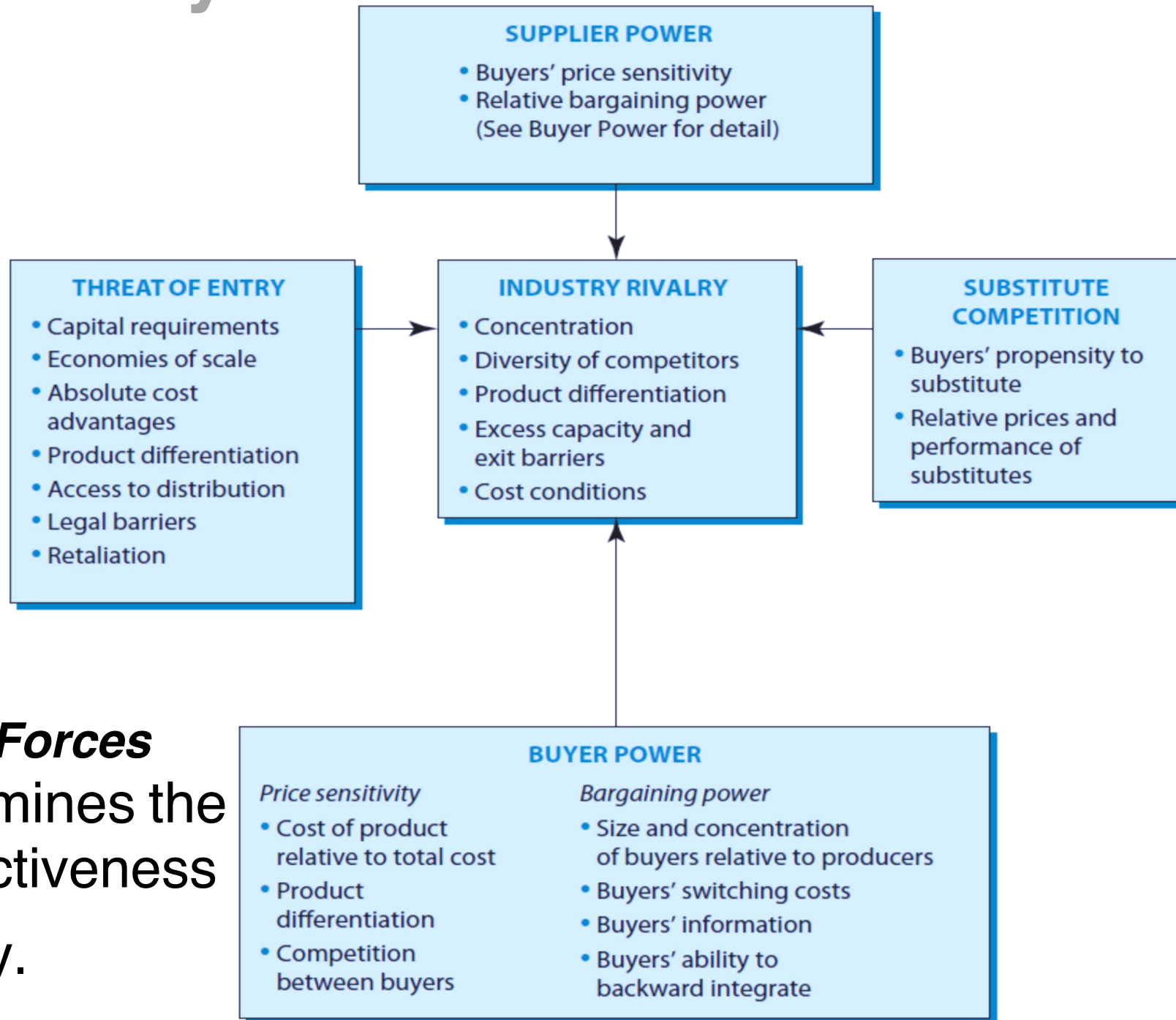


To make a contribution to the world by making tools for the mind that advance humankind



“Amazon.com strives to be Earth's most customer-centric company where people can find and discover virtually anything they want to buy online.”

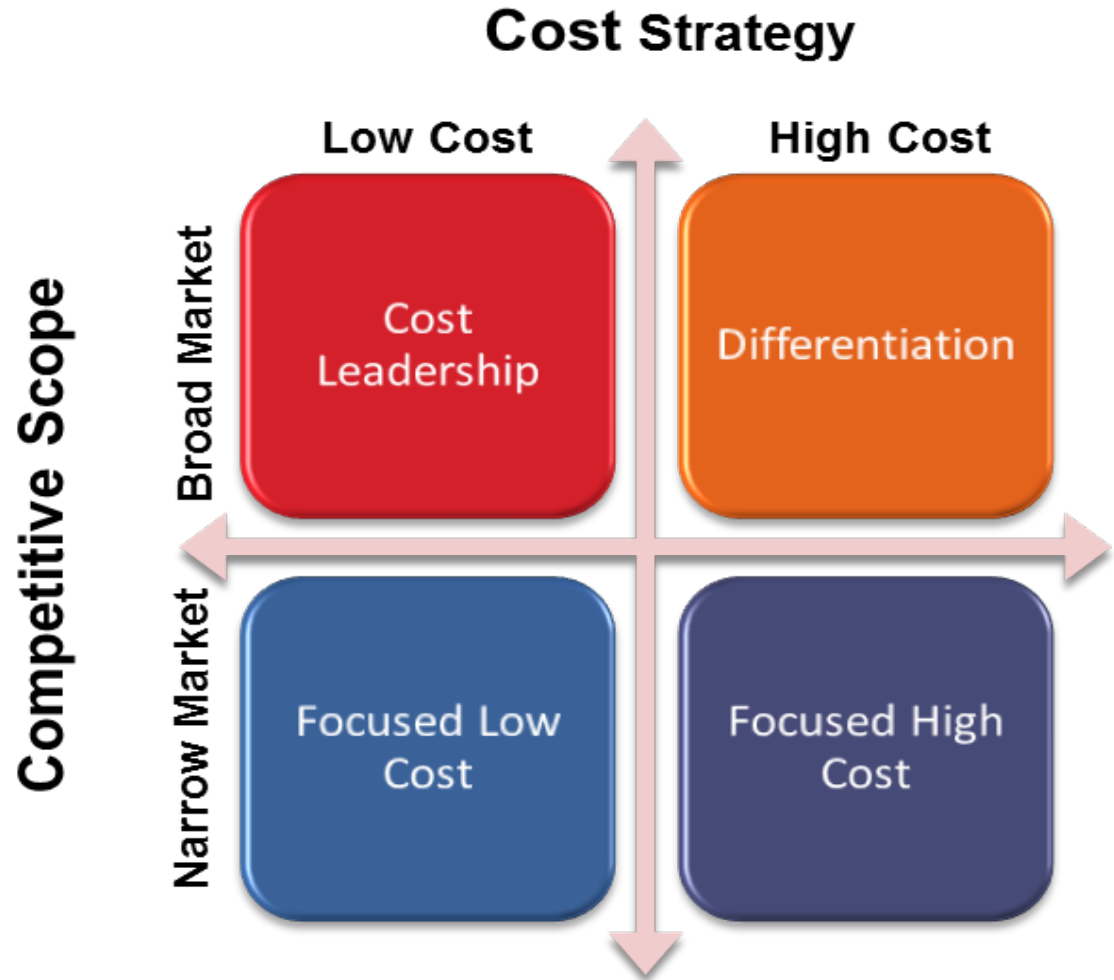
Industry Analysis



Porter's ***Five Forces Model*** determines the relative attractiveness of an industry.

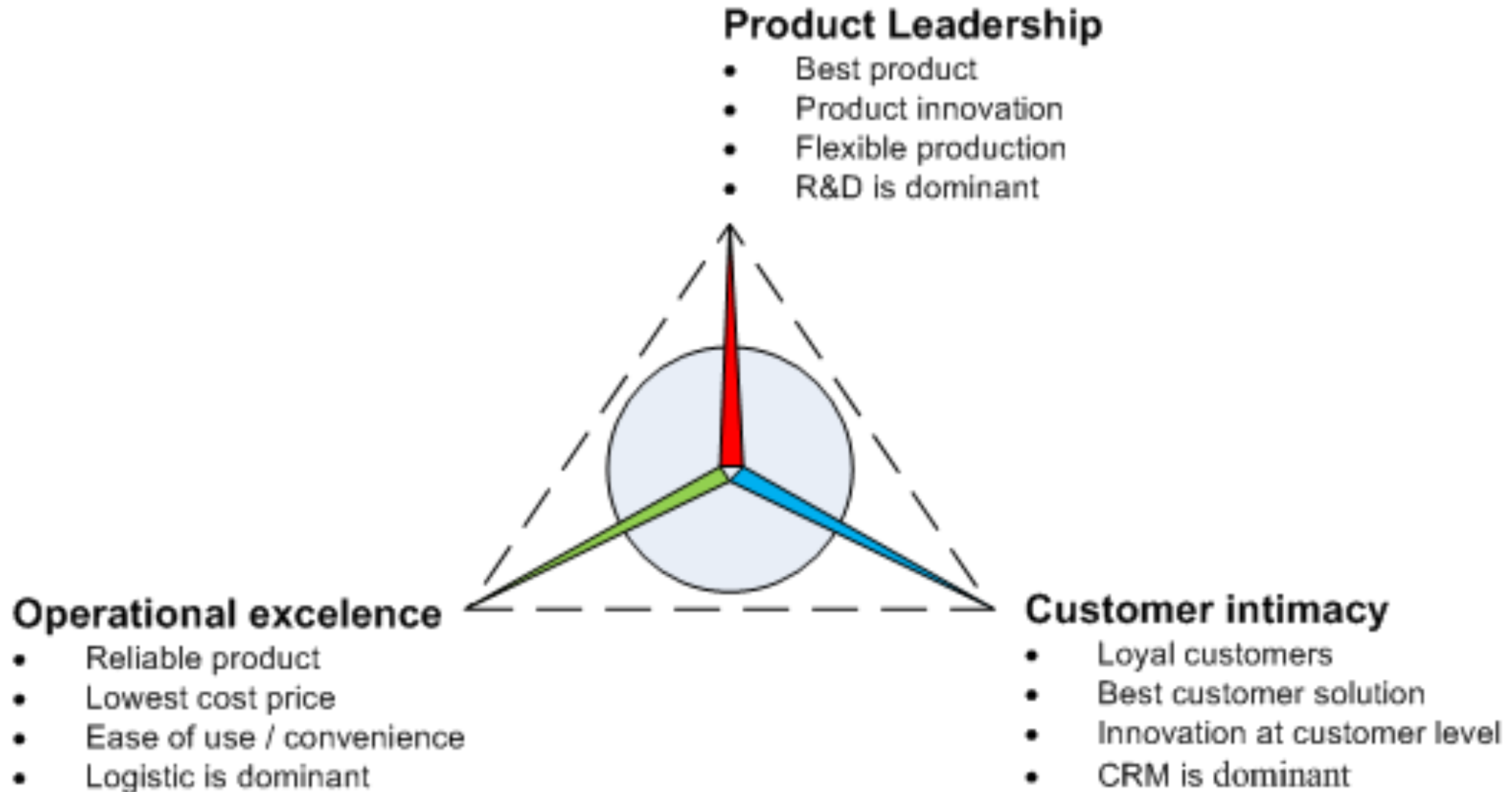
Porter's Generic Strategy Model

Determine a
suitable
Generic
Strategy!



<https://www.youtube.com/watch?v=V14kuqYEsxE>

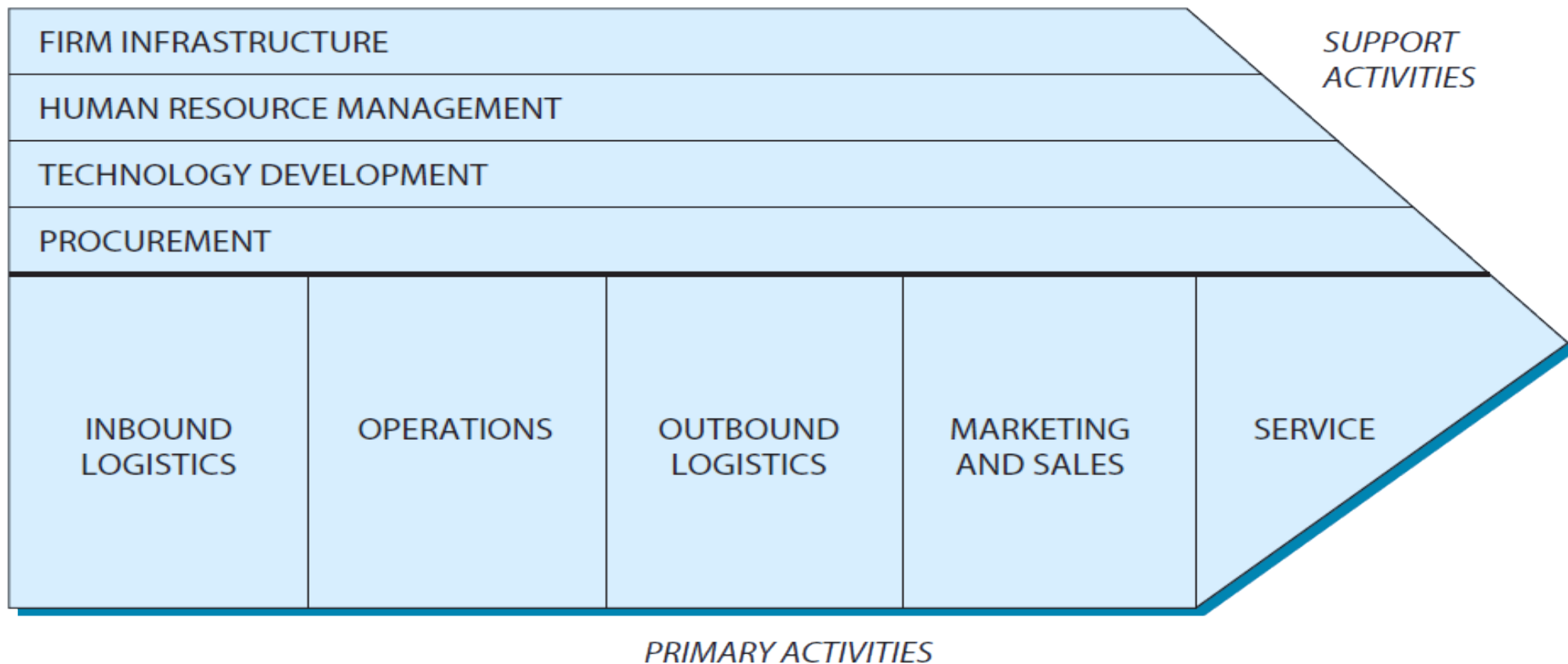
Treacy and Wiersema's Value Disciplines



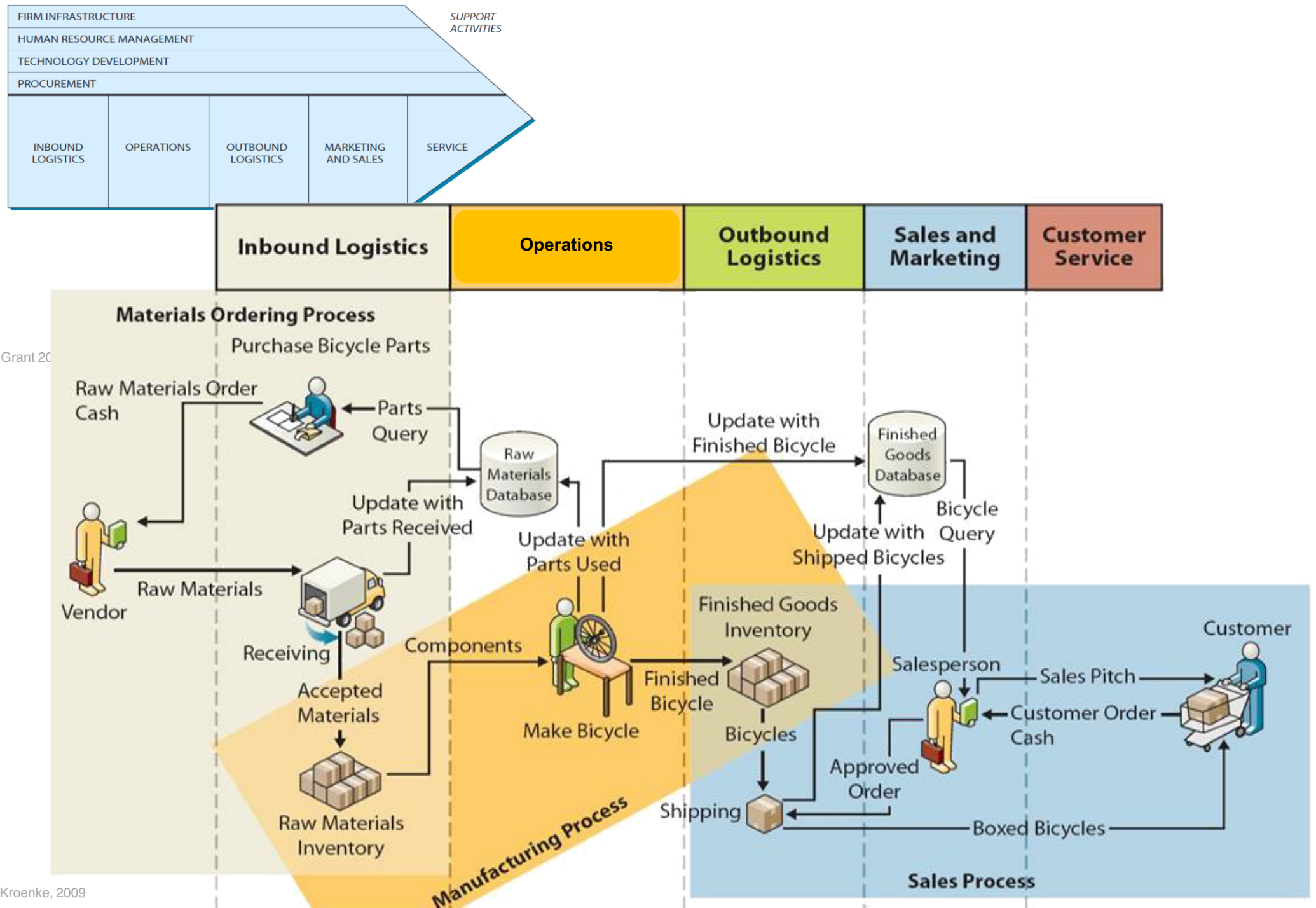
Value Chain

- Interlinked value-adding activities that convert inputs into outputs which help create competitive advantage(s).

www.businessdictionary.com



From Value Chains to Business Processes



Grant 20

Identifying the Problem

- Identify and justify the **process** that is **important** and is **dysfunctional**
- Identify the **type of business need** or problem (Strategic/Competitive, Operational, Organisational, Financial)
- **State the problem**
- Draw a **rich picture** of the **AS-IS situation**
- Draw a **model** of the **AS-IS problem process**

Metrics - Key Performance Indicators - Benchmarking

You cannot **MANAGE** what you don't **MEASURE!**

Historical

Compare KPIs results with historical results, i.e. year 1997 vs. 1998

Internal

Compare KPIs results within your company, i.e. profit centers, departments

Benchmarking

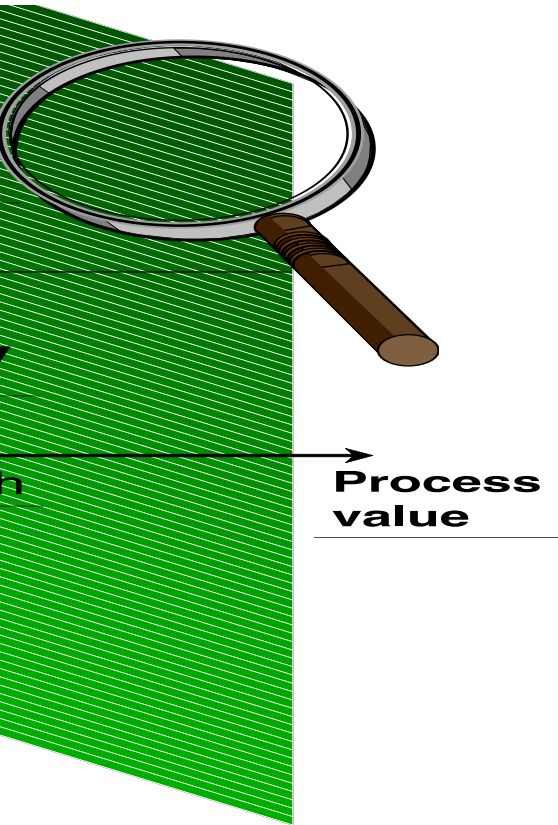
Theoretical

Analyze the circumstances, set yourself targets, compare your targets with your KPIs results

External

Compare KPIs results with other companies of the same business

Selecting a Process to Reengineer



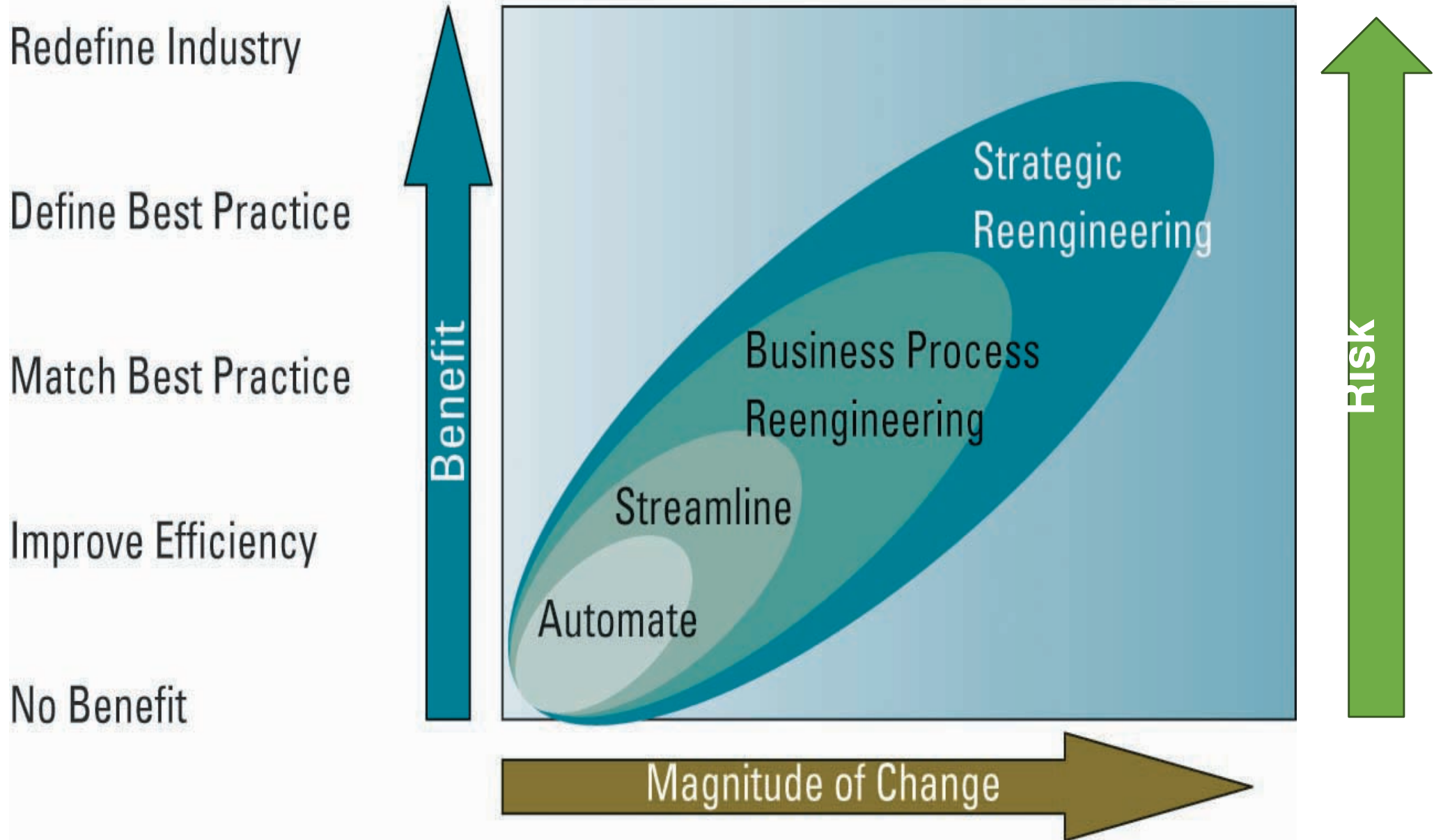
EXERCISE: Identify a process that you are aware of that fits each quadrant.

Rosemann (2001)

Selecting a Process to Reengineer

- Criteria to determine the importance of the process
 - Is the process broken?
 - Will reengineering of this process succeed?
 - Does it have a high impact on the strategic direction?
 - Does it significantly impact customer satisfaction?
 - Is it antiquated?
 - Does it fall far below best-in-class?
 - Is it crucial for productivity improvement?
 - Will savings from automation be clearly visible?
 - **Is the return on investment high?**

Process Change Spectrum

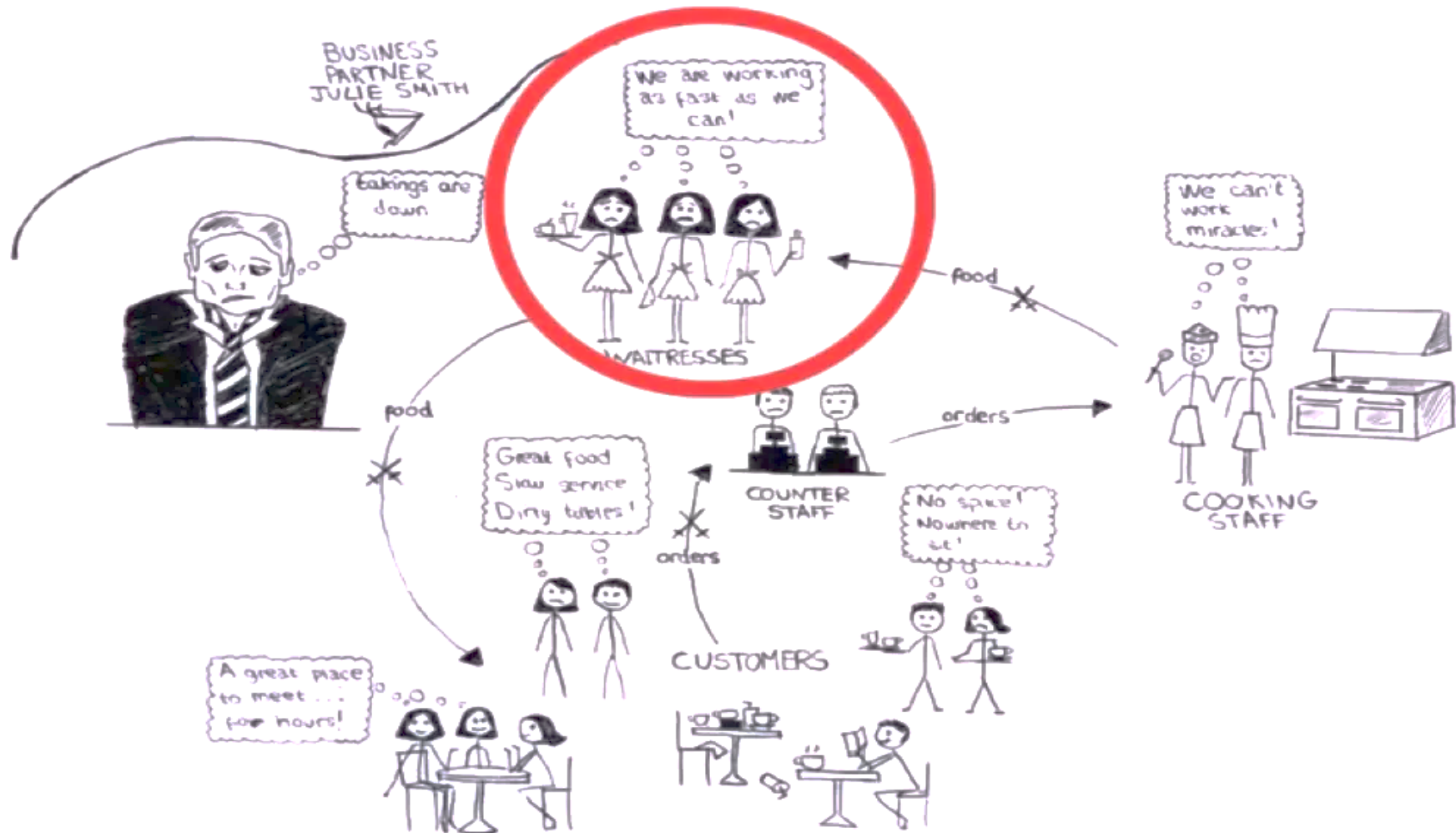


Problem Statement

- A **problem statement** is a concise, fact-based description of the client's core business problem or need - as clearly and objectively as possible - that sets the foundation for analysis, hypothesis-testing, and recommendations.
- Consultants use the problem statement to ensure:
- Everyone (client + consultant + other stakeholders) are aligned on what problem they are solving.
- The problem is actionable and measurable.
- The scope is clear and focused.
- SMART - Specific, Measurable, Achievable, Relevant, and Time-bound

Rich Pictures

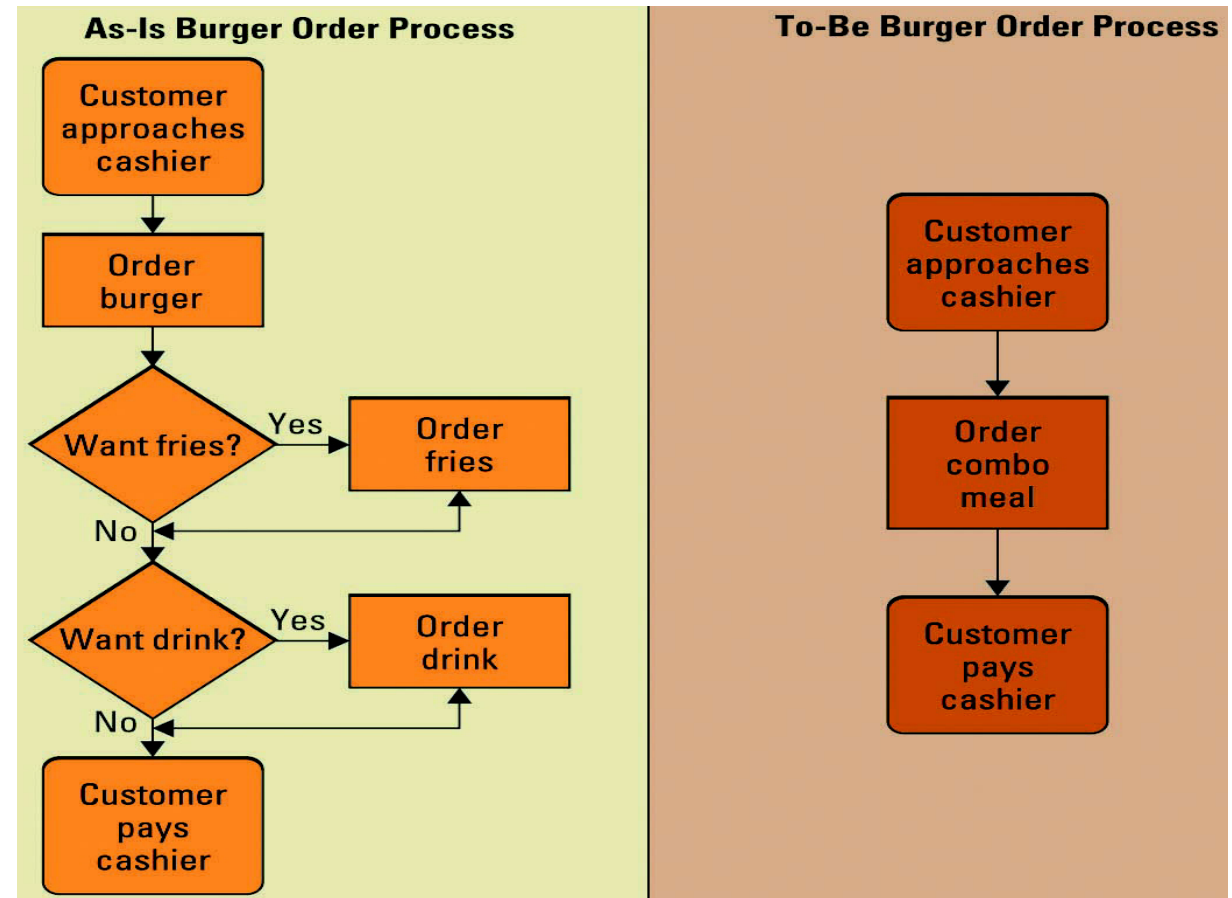
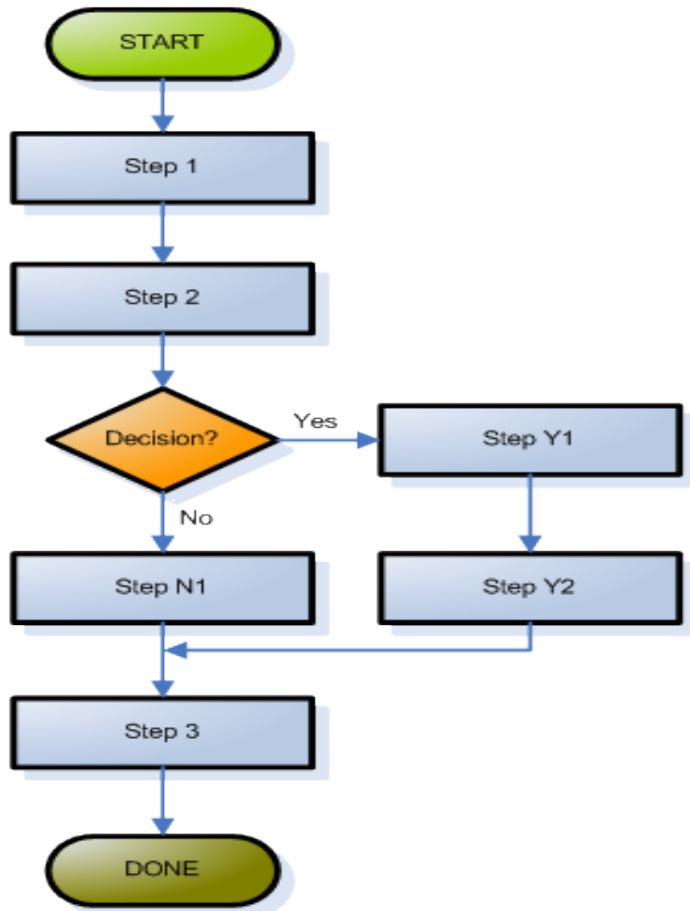
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- <https://www.assistkd.com/learning-zone/business-chemists-blog/dynamic-rich-picture>



Business Process Modelling

- ***Business process modeling*** (or *mapping*) - the activity of creating a detailed flow chart or process map of a work process showing its inputs, tasks, and activities, in a structured sequence.
- ***Business process model*** - a graphic description of a process, showing the sequence of process tasks, which is developed for a specific: (a) **AS-IS** process model (b) **TO-BE** process model.
- You cannot **TRANSFORM** what you have not **MODELLED!**

Business Process Modelling



Business Process Modelling

E-Business Process Model

